

**FEDERAL MARITIME COMMISSION**  
**Office of Administrative Law Judges**

TOYOTA DE PUERTO RICO CORP., *Complainant*

v.

PUERTO RICO PORTS AUTHORITY, CROWLEY PUERTO RICO  
SERVICES, INC., AND OCEANIC GENERAL AGENCY, INC.,  
*Respondents.*

**DOCKET NO. 19-02**

Served: March 30, 2021

**BEFORE:** Erin M. WIRTH, *Chief Administrative Law Judge.*

**INITIAL DECISION<sup>1</sup>**

**I. Introduction**

**A. Overview and Summary of Decision**

Complainant Toyota de Puerto Rico Corp. (“Toyota”) alleges violations of the Shipping Act of 1984, as amended (“Shipping Act”) in the collection of enhanced security fees by Respondent Puerto Rico Ports Authority (“PRPA”) on vehicles shipped to Puerto Rico from 2011 to 2017, which were not subject to scanning under PRPA’s cargo scanning program.

Respondent PRPA denies the allegations and raises defenses, including that PRPA is an arm of the Commonwealth of Puerto Rico, or a hybrid entity, entitled to sovereign immunity. Two Respondents in this proceeding, Oceanic General Agency, Inc. and Crowley Puerto Rico Services, Inc., were dismissed by stipulation. Notice of Dismissal (Apr. 25, 2019) (OGA); Notice of Dismissal (May 14, 2019) (Crowley). At this point, PRPA is the only remaining Respondent.

Early in the proceeding, PRPA’s motion to dismiss on four grounds, including sovereign immunity, was denied. The parties proceeded with the case and completed discovery. Prior to briefing on the merits, PRPA was granted a stay while the Court of Appeals for the First Circuit reviewed the decision in *Dantzler, Inc. v. Puerto Rico Ports Authority*, 335 F. Supp. 3d 226 (D.P.R. 2018), which addressed PRPA’s cargo scanning program and enhanced security fees. On appeal, the First Circuit dismissed the *Dantzler* case on the basis of standing or, in the alternative, sovereign immunity. *Dantzler, Inc. v. Empresas Berrios Inventory & Operations, Inc.*, 958 F.3d 38, 50 (1st Cir. 2020).

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<sup>1</sup> This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

After the First Circuit decision dismissing *Dantzler*, the parties were instructed to supplement their arguments regarding sovereign immunity prior to briefing the other issues in this proceeding. For the reasons discussed below, PRPA is found to be entitled to sovereign immunity for the cargo scanning program, including the enhanced security fees. Therefore, this proceeding must be dismissed.

## **B. Procedural History**

On March 14, 2019, Respondent PRPA filed a motion to dismiss the complaint on the basis of standing, jurisdiction, statute of limitations, and sovereign immunity. Toyota opposed the motion to dismiss. On July 2, 2019, an order was issued denying PRPA's motion to dismiss on all four grounds and finding the sovereign immunity issue premature based on a circuit split and pending First Circuit case. The parties proceeded to conduct discovery.

On December 4, 2019, prior to briefing the case, PRPA filed a motion to stay pending a decision by the First Circuit in the related *Dantzler* case. Toyota opposed the motion to stay. On January 3, 2020, an order was issued staying this proceeding, noting that "if PRPA is entitled to sovereign immunity, the benefit of that immunity would be lost by continuing to litigate the merits of this proceeding." Order on Complainant's Urgent Motion and Respondent's Motion to Stay at 6.

On May 1, 2020, the First Circuit issued a decision in the *Dantzler* case, finding that the plaintiffs failed to establish constitutional standing and that PRPA was entitled to sovereign immunity in its performance of the inspection functions at issue. *Dantzler*, 958 F.3d at 50. On May 29, 2020, a petition for rehearing was filed in the *Dantzler* case. On June 17, 2020, at the parties' request, an order was issued staying this proceeding pending the issuance of a firm and final decision by the First Circuit in *Dantzler*.

On September 2, 2020, the First Circuit denied the request for rehearing. On October 28, 2020, the parties were required to file a joint status report. On November 10, 2020, the parties filed a joint status report indicating, in part, that Supreme Court review was being sought in *Dantzler*.

On November 13, 2020, an order was issued lifting the stay and requiring briefing, stating that obtaining "Supreme Court review is always statistically unlikely and the likelihood of review is not increased where the underlying circuit split has been resolved by a First Circuit decision consistent with now-Justice Kavanaugh's [*Puerto Rico Ports Auth. v. Federal Maritime Commission*, 531 F.3d 868 (D.C. Cir. 2008)] decision. This changed legal landscape is sufficient to lift the stay." Order Lifting Stay and Requiring Briefing at 3. The parties were given time to file briefs limited to supplementing their arguments regarding whether this proceeding should be dismissed on sovereign immunity grounds and raising any arguments regarding the May 2020 decision in *Dantzler*.

On December 16, 2020, Toyota filed a brief ("Brief"), statement of material facts, and appendix. On January 19, 2021, PRPA filed its opposition brief ("Opposition") and appendix. On January 26, 2021, Toyota filed its reply brief ("Reply").

On February 5, 2021, PRPA filed a motion for leave to file a sur-reply and its sur-reply. The motion for leave to file the sur-reply is hereby **GRANTED** and the sur-reply is considered. Briefing on the sovereign immunity issue is complete and the issue is ripe for decision.

### **C. Arguments of the Parties**

Toyota argues that the First Circuit in *Dantzler* did not address all the elements developed by federal courts when determining Eleventh Amendment immunity; *Dantzler* was decided on a motion to dismiss, whereas Toyota has already survived that stage and the parties have concluded discovery, which shows PRPA cannot carry its burden of proving sovereign immunity; PRPA is not an arm of the state and is not entitled to sovereign immunity; and the First Circuit's statement regarding the sovereign immunity issue is dictum. Brief at 3-13.

PRPA asserts that case law supports the position that PRPA is entitled to sovereign immunity and PRPA meets each of the required structural indicators to qualify for sovereign immunity because Act 12 recharacterized PRPA's mission and responsibilities, expanding upon the structure provided by PRPA's enabling act; PRPA is carrying out purely governmental functions in this case; PRPA has a close fiscal relationship with the Commonwealth for purposes of the scanning program; and the Commonwealth's control over PRPA is undisputed. Opposition at 6-15.

Toyota contends in its reply brief that PRPA's role under Act 12 is limited to installing the fast-scanning lanes; the privatization of the implementation and operation of the scanning lane program contradicts the nature of a governmental function; even if the privatization of the scanning program were a governmental function, PRPA has not met the *Thacker* test to avoid its "sue and be sued" clause; and matters outside the question of sovereign immunity are premature and should not be addressed. Reply at 3-7.

PRPA asserts in its sur-reply that Toyota mischaracterized PRPA's opposition brief; the scanning program is PRPA's responsibility and has never been privatized; *Dantzler* footnote 6 entails the First Circuit's finding on sovereign immunity; and Toyota's allegation that its complaint was misconstrued "misses the point." Sur-Reply at 2-6.

### **D. Evidence**

Under the Administrative Procedure Act, an Administrative Law Judge may not issue an order "except on consideration of the whole record or those parts thereof cited by a party and supported by and in accordance with the reliable, probative, and substantial evidence." 5 U.S.C. § 556(d); *see also Steadman v. SEC*, 450 U.S. 91, 102 (1981). This initial decision is based on the record, including the pleadings, motions, briefs, and exhibits filed by the parties. To the extent findings of fact may be deemed conclusions of law, they shall also be considered conclusions of law. Similarly, to the extent conclusions of law may be deemed findings of fact, they shall also be considered findings of fact.

Before reaching the analysis and conclusions of law, it is helpful to review the background, including prior rulings on sovereign immunity in this proceeding, sovereign immunity legal developments, and legislation regarding PRPA.

## **II. Background**

### **A. Prior Rulings on Sovereign Immunity**

Earlier in the proceeding, PRPA moved to dismiss the complaint for four reasons, including that PRPA is an arm of the Commonwealth with sovereign immunity under the Eleventh Amendment. Toyota opposed the motion to dismiss, arguing that PRPA has not been considered an arm of the Commonwealth by the Commission.

The order denying PRPA's motion to dismiss addressed sovereign immunity, stating:

"The preeminent purpose of state sovereign immunity is to accord States the dignity that is consistent with their status as sovereign entities." *Federal Maritime Commission v. South Carolina State Ports Auth.*, 535 U.S. 743, 760 (2002). Only "States and arms of the State possess immunity from suits authorized by federal law." *Northern Ins. Co. of N.Y. v. Chatham County*, 547 U.S. 189, 193 (2006). Although immunity extends to entities which are arms of the state, the Supreme Court has repeatedly refused to extend sovereign immunity to municipalities, even when such entities exercise a "slice of state power." *Chatham County*, 547 U.S. at 193-94 (citations omitted); *see also Alden v. Maine*, 527 U.S. 706, 756 (1999) (sovereign immunity "does not extend to suits prosecuted against a municipal corporation or other governmental entity which is not an arm of the State.").

The Supreme Court specifically has held that state sovereign immunity bars the Federal Maritime Commission from adjudicating a private party's complaint against a state-run port. *South Carolina State Ports Auth.*, 535 U.S. at 747. Commission cases have addressed the Eleventh Amendment immunity of ports in South Carolina, Puerto Rico, and Maryland. In all three cases, the ports were ultimately found entitled to immunity. *South Carolina State Ports Auth.*, 535 U.S. at 743; *Puerto Rico Ports Auth. v. Federal Maritime Commission*, 531 F.3d 868 (D.C. Cir. 2008) ("PRPA (D.C. Cir. 2008)"); *Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, 30 S.R.R. 358 (FMC 2004).

The issue of sovereign immunity, and specifically whether PRPA is an arm of the state, has been refined and evolving. While the D.C. Circuit in *PRPA (D.C. Cir. 2008)* found that the PRPA was entitled to immunity, the First Circuit distinguished *PRPA (D.C. Cir. 2008)* and found that PRPA was not entitled to sovereign immunity in *Grajales*. *Grajales v. Puerto Rico Ports Auth.*, 831 F.3d 11, 30 (1st Cir. 2016). Another case involving the enhanced security fees at issue in this proceeding is currently on appeal to the First Circuit. *Dantzler, Inc. v. Puerto Rico Ports Auth.*, 335 F. Supp. 3d 226 (D.P.R. 2018).

Given the circuit split on this issue as well as the pending First Circuit appeal, it would be premature to resolve the issue at this point. It is clear that additional facts regarding the structure of the PRPA and the potential impact of any reparations awarded on Puerto Rico's state finances will be relevant to the determination of this issue. At this point, it does not clearly appear that the case should be dismissed on sovereign immunity grounds.

Order Denying Puerto Rico Ports Authority's Motion to Dismiss at 8-9 (July 2, 2019).

After the related *Dantzler* case was decided by the First Circuit, an order was issued lifting the stay in this proceeding. That order stated in relevant part:

Previously, there was a circuit split, with the in First Circuit in 2016 in *Grajales* finding that PRPA was not entitled to sovereign immunity while the D.C. Circuit in 2008 in *PRPA* (*D.C. Cir. 2008*) finding that PRPA was entitled to sovereign immunity. The First Circuit's May 2020 decision in *Dantzler* appears to resolve the circuit split, at least in regard to the cargo scanning program at issue in this proceeding. Although the First Circuit dismissed *Dantzler* based on constitutional standing requirements not at issue here, it specifically addressed the sovereign immunity issue, stating:

While our conclusion makes it unnecessary to reach PRPA's argument that it is entitled to sovereign immunity, we note that given the analytical framework set forth in *Grajales v. P.R. Ports Auth.*, 831 F.3d 11 (1st Cir. 2016), combined with the fact that the cargo scanning program was implemented to further the governmental purposes of improving national security and ensuring proper tax collection, we find it difficult to see how PRPA cannot be cloaked with sovereign immunity here in its performance of an inspection function that is governmental in nature. *See id.* at 20 n.9; *see also Thacker v. Tenn. Valley Auth.*, 139 S. Ct. 1435, 203 L. Ed. 2d 668 (2019). We view this, thus, as an alternative ground supporting our ultimate conclusion vacating and remanding the district court's order and partial judgment.

*Dantzler, Inc.*, 958 F.3d at [50] n.6.

Order Lifting Stay and Requiring Briefing at 2-3 (November 13, 2020).

The orders cited above summarized the law regarding sovereign immunity. Additional background regarding the development of sovereign immunity caselaw in the relevant federal circuits will help put the issue in context.

## B. Sovereign Immunity Legal Developments

“Puerto Rico became an American dependency in 1898, and the Supreme Court recognized its common-law sovereign immunity almost immediately thereafter.” *Mercado v. Puerto Rico*, 214 F.3d 34, 38-39 (1st Cir. 2000) (citing *Porto Rico v. Rosaly y Castillo*, 227 U.S. 270, 273 (1913)). “Since that time, we consistently have held that Puerto Rico’s sovereign immunity in federal courts parallels the states’ Eleventh Amendment immunity.” *Mercado*, 214 F.3d at 39.

The Supreme Court, in 2002, found sovereign immunity applicable to Federal Maritime Commission private party litigation, although the Court did not discuss the factors to consider when determining whether an entity is an arm of the state. *South Carolina State Ports Auth.*, 535 U.S. at 751-52. Indeed, there is no uniform test to determine whether an entity is an arm of the state, although the parties understandably suggest consideration under the First Circuit approach.<sup>2</sup> This proceeding is analyzed under the First Circuit approach, although the D.C. Circuit approach is similar and would yield the same result. Recent relevant cases are discussed chronologically.

The First Circuit, in 2003, took a two-step approach to determining that the Puerto Rico and the Caribbean Cardiovascular Center Corp. did not have sovereign immunity. *Fresenius Medical Care Cardiovascular Resources, Inc. v. Puerto Rico & Caribbean Cardiovascular Ctr. Corp.*, 322 F.3d 56 (1st Cir. 2003). Step one determined whether the state clearly structured the entity to share its sovereignty by considering the enabling act, other state statutes, state court decisions, functions, and control. *Fresenius*, 322 F.3d at 68. “If the factors assessed in analyzing the structure point in different directions, then the dispositive question concerns the risk that the damages will be paid from the public treasury.” *Fresenius*, 322 F.3d at 68.

The Commission, in 2004, considered four factors – risk to the state treasury, control, local or statewide concerns, and state law – to determine whether the Maryland Port Administration (“MPA”) was an arm of the State of Maryland entitled to Eleventh Amendment protection. *Ceres*, 2004 FMC LEXIS 1, at \*40-45. The Commission discussed the various tests, explained the challenges for an agency subject to a multiple-venue review process, and indicated that its approach was consistent with the tests utilized by the Fourth Circuit and the First Circuit. *Ceres*, 2004 FMC LEXIS 1, at \*36-37. The Commission concluded that the MPA had not provided enough evidence to show that a judgment against it would impact the Maryland state treasury but because the State of Maryland exercised a significant degree of control over the MPA, “an entity that deals with statewide concerns and that has been treated as an arm of the state by at least one Maryland state court,” the Commission found that a proceeding against MPA would therefore infringe upon Maryland’s dignity. 2004 FMC LEXIS 1, at \*44-45.

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<sup>2</sup> Cases from Puerto Rico are typically appealed to the First Circuit. However, federal agency decisions may be appealed to the D.C. Circuit. So, an appeal from a Commission decision could be heard by either the First Circuit or the D.C. Circuit. *Ceres*, 2004 FMC LEXIS 1, at \*33 n.4.

The Commission, in 2006, used the *Ceres* test to conclude that PRPA was not an arm of the Commonwealth of Puerto Rico, and therefore not entitled to sovereign immunity, primarily because PRPA's enabling statute, as well as local and federal case law, overwhelmingly indicated that PRPA was not an arm of the Commonwealth and because the Commonwealth's treasury was not at risk from a judgement against PRPA. *Odyssea Stevedoring of Puerto Rico, Inc. v. Puerto Rico Ports Authority*, 2006 FMC LEXIS 7, at \*25-26, \*30-31 (FMC 2006), *rev'd* *PRPA*, 531 F.3d at 881. On remand, the ALJ denied PRPA's request for a stay pending an appeal in the D.C. Circuit, however, the D.C. Circuit granted PRPA's motion to stay administrative proceedings before the Commission. *Odyssea Stevedoring of Puerto Rico, Inc. v. Puerto Rico Ports Authority*, 2007 FMC LEXIS 30, at \*2 (FMC 2007).

The D.C. Circuit reversed the Commission's *Ceres* decision and found that PRPA was entitled to immunity. *PRPA*, 531 F.3d at 868. To determine whether an entity is entitled to sovereign immunity, the D.C. Circuit has "generally focused on the 'nature of the entity created by state law' and whether the State 'structured' the entity to enjoy its immunity from suit." *PRPA*, 531 F.3d at 873 (citations omitted). The inquiry "required examination of three factors: (1) the State's intent as to the status of the entity, including the functions performed by the entity; (2) the State's control over the entity; and (3) the entity's overall effects on the state treasury. *Id.* at 873; *see also Morris v. Washington Metro. Area Transit Auth.*, 781 F.2d 218 (D.C. Cir. 1986).

The D.C. Circuit concluded in *PRPA* that "[w]hen considered together, the three arm-of-the-state factors – intent, control, and overall effects on the treasury – lead us to conclude that PRPA is an arm of the Commonwealth entitled to sovereign immunity." *PRPA*, 531 F.3d at 880. The first factor of intent was established because the enabling act "describes PRPA as a 'government instrumentality of the Commonwealth of Puerto Rico' and 'government controlled corporation;'" PRPA performs functions to promote the general welfare and to increase commerce and prosperity for the benefit of the people of Puerto Rico; PRPA's internal regulations are governed by Puerto Rico laws that apply to Commonwealth agencies generally; PRPA submits yearly financial statements to the legislature and Governor; and the Commonwealth filed an amicus curie brief "emphatically declaring that PRPA is an arm of the Commonwealth entitled to sovereign immunity." *Id.* at 875-76. The second factor of control was established because the Governor controls the appointment of the entire Board and the Governor may remove a majority of the Board at will. *Id.* at 877-78. Although PRPA was financed largely through user fees and bonds, the determination of the overall effects on the treasury, the third factor, weighed in favor of immunity because some of PRPA's actions could create legal liability for the Commonwealth, and payment for judgments for certain torts could come out of the Commonwealth's coffers. *Id.* at 879-80. Given all of these facts, the D.C. Circuit found that PRPA was an arm of the Commonwealth.

The First Circuit, in 2016, applied the *Fresenius* two-step approach to conclude that PRPA was not entitled to sovereign immunity. *Grajales*, 831 F.3d at 30. As part of the structural analysis, the court found that "separate and apart" language in the enabling act points away from PRPA being an arm of the Commonwealth. *Id.* at 23. The nature of functions was inconclusive as PRPA performs a mix of functions. *Id.* at 23-24. The "high degree of separation" in the fiscal relationship between the Commonwealth and PRPA pointed against finding PRPA an arm of the Commonwealth. *Id.* at 24-28. The extent to which the Commonwealth government exerts control

over PRPA weighed heavily in favor of finding PRPA an arm of the Commonwealth. *Id.* at 29. Because the structural factors showed mixed signals, the court moved to the second step of the *Fresenius* analysis, finding that “PRPA has failed to show that this action poses any risk to the Commonwealth’s fisc” and therefore that PRPA was not entitled to claim sovereign immunity. *Id.* at 29. The court declined to resolve the question of whether a sovereign could structure an entity to be a hybrid, entitled to sovereign immunity only for certain purposes. *Id.* at 20 n.9.

The Supreme Court, in 2019, reviewed a Congressional waiver of sovereign immunity for the Tennessee Valley Authority, a wholly owned public corporation of the United States which provides electricity to people in seven states. *Thacker*, 139 S. Ct. at 1439. Finding that the Tennessee Valley Authority combines traditionally governmental functions with typically commercial ones and could be a hybrid entity, the Court remanded the case for determination of whether a waiver of immunity applied to the conduct alleged to be negligent. *Thacker*, 139 S. Ct. at 1443-44.

The First Circuit, in 2020 in *Dantzler*, agreed with defendants PRPA, Rapiscan, and S2 that plaintiff Dantzler failed to set forth allegations in its complaint sufficient to establish Article III standing. *Dantzler*, 958 F.3d at 51. The sovereign immunity issue was addressed in a footnote, stating:

While our conclusion makes it unnecessary to reach PRPA’s argument that it is entitled to sovereign immunity, we note that given the analytical framework set forth in *Grajales v. P.R. Ports Auth.*, 831 F.3d 11 (1st Cir. 2016), combined with the fact that the cargo scanning program was implemented to further the governmental purposes of improving national security and ensuring proper tax collection, we find it difficult to see how PRPA cannot be cloaked with sovereign immunity here in its performance of an inspection function that is governmental in nature. See *id.* at 20 n.9; see also *Thacker v. Tenn. Valley Auth.*, 139 S. Ct. 1435, 203 L. Ed. 2d 668 (2019). We view this, thus, as an alternative ground supporting our ultimate conclusion vacating and remanding the district court’s order and partial judgment.

*Dantzler*, 958 F.3d at 50 n.6. Although this is dicta in a footnote ruling on a motion to dismiss, it is nonetheless relevant and persuasive authority.

Given this complex history, it is necessary to utilize the *Fresenius* two-step approach to determine whether PRPA is entitled to sovereign immunity for this claim. However, first it is helpful to review some of the legislation regarding PRPA.

### **C. Puerto Rico Ports Authority**

To determine whether an entity is entitled to sovereign immunity, it is important to review the enabling act and related legislation. The enabling act creating PRPA states:

(a) A body corporate and politic is hereby created constituting a public corporation and government instrumentality of the Commonwealth of Puerto

Rico, with the name of the Puerto Rico Ports Authority. The Puerto Rico Ports Authority shall be the successor of the Puerto Rico Transportation Authority for all effects, including, but without it being understood as a limitation, the collection and payment of debts and obligations pursuant to the terms thereof.

(b) The Authority which is created hereby is and should be a government instrumentality and public corporation with a legal existence and personality separate and apart from those of the Government and any officials thereof. The debts, obligations, contracts, bonds, notes, debentures, receipts, expenditures, accounts, funds, undertakings and properties of the Authority, its officers, agents or employees, shall be deemed to be those of said government controlled corporation, and not those of the Commonwealth of Puerto Rico, or any office, bureau, department, commission, dependency, municipality, branch, agent, officials or employees thereof.

23 P.R. Laws Ann. § 333.

The United States Congress enacted legislation related to port security in the Maritime Transportation Security Act in 2002, and in the Security and Accountability for Every Port Act in 2006. 46 U.S.C. §§ 70101 et seq. (MTSA); 6 U.S.C. §§ 901 et seq. and 46 U.S.C. §§ 70110 et seq. (SAFE Port Act). In 2007, several Puerto Rico agency heads executed an interagency agreement regarding issues including port security. Opposition, Exhibit B at Exhibit 1, page 167 of 189.<sup>3</sup>

The scanning program was implemented pursuant to Act 12, adopted in 2008, which states in relevant part:

Maintaining maritime transport routes open is a survival requirement for the People of Puerto Rico. The possible use of the seas of Puerto Rico and of the vessels and port facilities therein in order to carry out acts of terrorism, or as a target thereof, is a risk that demands urgent attention. The security of the citizens and of trade — especially in the context of the terrorism threat — is of such importance that implementing security models in the port areas must be a priority for the authorities responsible for this segment of the infrastructure. Due to the challenge that the increasing maritime and containers traffic poses to the Island, one of the primary aims of the Government of Puerto Rico is establishing the minimum elements needed for ensuring the health and security of Puerto Ricans, safeguarding the large capital investment made in the ports, and protecting the public benefit that the good operations of trade and economy entails.

The Interagency Agreement for Implementing the Automated Cargo and Merchandise Control System established among the Department of State, the Ports Authority, the Department of the Treasury, the Department of

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<sup>3</sup> The exhibits attached to the Opposition brief are not consecutively numbered. The page numbers referenced are the pages of the FMC docket, where the exhibits begin at page 17 of 189.

Transportation and Public Works, the Puerto Rico Police and the Office of Management and Budget was formalized on August 2, 2007. The purpose of this agreement is to integrate the efforts among these agencies to avoid illegal weapons and drug trafficking in our seaports and airports, as well as any other illegal aspect.

The agreement also has the aim of locating resources for acquiring automated systems suitable for customs. . . .

Therefore, the public policy of the Commonwealth is:

- (a) That the maritime ports of Puerto Rico shall comply with all the federal provisions described in the Maritime Transportation Security Act, and its international equivalent, the International Ship and Port Facility Security Code (ISPS), on or before January 1, 2009.
- (b) Recognizing the Inter-Agency Agreement for Implementing the Automated Cargo and Merchandise Control System of August 2, 2007.
- (c) That on or before October 1, 2008, the Ports Authority shall implement a fast track evaluation model for the goods entering the Island by sea, this date being deferrable by the agencies participating in the Interagency Agreement.
- (d) That the measures taken to oversee maritime security are designed so as to limit delays in the fast flow of the cargo to a minimum.

23 P.R. Laws Ann. § 3222.

Regarding the budget, Act 12 states:

- (a) In order to comply, formalize and conduct all procedures or acquisitions needed for exercising the powers and obligations conferred by this chapter or by any other related law of the Legislature of Puerto Rico or the United States Congress within the specified time limits, the Government of Puerto Rico, its dependencies, instrumentalities and political subdivisions shall develop strategies and take steps for financing and/or defraying any costs related to this chapter, by participating in programs that provide federal funds, developing strategic alliances with the national security agencies, or allowing private investments.
- (b) For compliance with this chapter, the credit or power to levy taxes of the Commonwealth of Puerto Rico or of any of its political subdivisions shall not be pledged nor made liable for the payment of the principal of any loans, guarantees or bonds issued by any entity, nor shall any public funds of the General Budget approved by the Legislature be used, unless every possibility of federal funding and/or private funds has been previously consumed or exhausted, and it can thus be documented.

23 P.R. Laws Ann. § 3223.

Puerto Rico's treasury department and PRPA entered into a memorandum of understanding in 2011 which sets forth "the functions and responsibilities of each governmental entity in regards to the use of S2 Puerto Rico Scanning at the Locations with the objective of working in cooperation to develop a solution to the contraband problem in Puerto Rico." Toyota Appendix 010 and Opposition, Exhibit A at Exhibit 3, page 108 of 189.

With that background, the *Fresenius* two-step approach is utilized, starting with the structural indicators including state characterization, nature of functions, fiscal relationship, and control.

### **III. Analysis and Conclusions of Law**

#### **A. Structural Indicators**

##### **1. State Characterization**

Toyota asserts that PRPA's enabling act does not structure it to be an arm of the state but rather a public corporation, with its legal existence separate and apart from that of the government and its officials. Brief at 7. Toyota asserts that "PRPA's role under Act 12 is limited to installing the fast-scanning lanes," Act 12 "does not expand the statutory powers of signatory agencies," and PRPA's role is more akin to that of a proprietor/landlord. Reply at 3-4.

PRPA responds that the enabling act is the starting point but that an "in-depth analysis of Act 12 tips the balance in PRPA's favor" and that "PRPA's implementing contracts with other relevant Puerto Rico instrumentalities further support PRPA's re-characterization as an arm" because it is "actively assisting the Commonwealth in matters directly impacting the fisc" and security. Opposition at 9-11.

The Enabling Act created PRPA as "a public corporation and government instrumentality of the Commonwealth of Puerto Rico" which is "a government instrumentality and public corporation with a legal existence and personality separate and apart from those of the Government and any officials thereof." 23 P.R. Laws Ann. § 333(a-b).

The first *Fresenius* structural indicator broadly considers how state law characterizes the entity. The D.C. Circuit considered PRPA's enabling act which "describes PRPA as a 'government instrumentality of the Commonwealth of Puerto Rico' and 'government controlled corporation'" and found that the "statutory language plainly demonstrates Puerto Rico's intent to create a governmental instrumentality of the Commonwealth and thus strongly suggests that PRPA is an arm of the Commonwealth entitled to sovereign immunity." *PRPA*, 531 F.3d at 875.

Although the First Circuit found PRPA to be cloaked with sovereign immunity in *Dantzer*, because this was an alternative ground, there is limited analysis of the relevant factors. The citation to *Thacker*, which recognizes that entities may have both governmental and non-governmental functions, suggests that the First Circuit may consider PRPA a hybrid entity. In

*Grajales*, the First Circuit found that the enabling act “is best read to characterize PRPA in terms that point away from it being an arm of the Commonwealth.” *Grajales*, 831 F.3d at 23.

Puerto Rico law characterizes PRPA as both a “government instrumentality” and as a “public corporation with a legal existence and personality separate and apart from those of the Government and any officials thereof.” 23 P.R. Laws Ann. § 333(a-b). However, it is clear that at least part of PRPA’s function is governmental, for example, PRPA is charged with promoting “the general welfare” and “increas[ing] commerce and prosperity . . . for the benefit of the people of Puerto Rico.” 23 P.R. Laws Ann. § 348(a). This factor weighs in favor of finding PRPA to be an arm of the Commonwealth or a hybrid entity, with both governmental and non-governmental functions.

## **2. Nature of Functions**

Toyota asserts that PRPA’s functions range from governmental, such as the regulation of certain classes of ship pilots, to proprietary, such as dock-operating and maintenance activities, noting that the *Grajales* court found this indicator not to point in either direction. Brief at 8. Toyota also argues that the scanning is ultimately the responsibility of treasury personnel and that PRPA merely installs the scanning facilities. Brief at 8-9. Toyota further argues that the “privatization of the implementation and operation of the scanning lane program contradicts the nature of a governmental function” and that “[e]ven if the privatization of the scanning program were a governmental function, PRPA has not met the *Thacker* test to avoid its ‘sue and be sued’ clause.” Reply at 5-7.

PRPA responds that its functions under Act 12 are quintessential governmental functions, Puerto Rico can create hybrid entities with sovereign-type functions in certain cases, PRPA’s authority to implement the cargo scanning program is well settled, and PRPA is responsible for a whole lot more than merely facilitating the scanning technology. Opposition at 11-13. PRPA further asserts that the scanning program is PRPA’s responsibility and has never been privatized. Sur-Reply at 3-4.

The D.C. Circuit found that the enabling act and dock and harbor act indicate “that PRPA performs its functions to promote ‘the general welfare’ and to increase ‘commerce and prosperity’ for the benefit ‘of the people of Puerto Rico,’” which pointed “in the direction of arm-of-the-Commonwealth status.” *PRPA*, 531 F.3d at 875-76.

The First Circuit, in *Dantzler*, focused on “the fact that the cargo scanning program was implemented to further the governmental purposes of improving national security and ensuring proper tax collection” to “find it difficult to see how PRPA cannot be cloaked with sovereign immunity here in its performance of an inspection function that is governmental in nature.” *Dantzler*, 958 F.3d at 50 n.6. In *Grajales*, the First Circuit stated that PRPA “performs a mix of functions of which some are characteristic of arms and others are not.” *Grajales*, 831 F.3d at 24.

With regard to the scanning program, Puerto Rico identified its goals as: “ensuring the health and security of Puerto Ricans, safeguarding the large capital investment made in the ports, and protecting the public benefit that the good operations of trade and economy entails.” 23 P.R.

Laws Ann. § 3222. Specifically, Act 12 states that PRPA “shall implement a fast track evaluation model for the goods entering the Island by sea,” which is “designed so as to limit delays in the fast flow of the cargo to a minimum.” 23 P.R. Laws Ann. § 3222. Health, security, and trade are traditional governmental functions.

Toyota argues that the complaint challenges the application of the scanning fees to its vehicles which were not “container cargo” under Regulation 8067 and asserts that even if the implementation of scanning lanes were a governmental function, that charging a fee for the services is not. Reply at 2-3. However, charging a fee for the service cannot be easily separated from the service. Moreover, if sovereign immunity applies to the scanning program, it prohibits the Commission from hearing cases regarding any part of PRPA’s scanning program, including fees charged for it, regardless of the merits of the claim.

PRPA’s use of treasury employees in the scanning program only highlights the interagency nature and relationships with other Puerto Rican government entities, which supports the finding that the cargo scanning program benefits the Commonwealth. PRPA’s role is more than just as a landlord and the use of contractors, Rapiscan and S2, to provide the scanning services does not change the nature of the governmental functions. Moreover, Rapiscan and S2 were respondents in the *Dantzler* case, so the First Circuit was well aware of their role, and nonetheless found PRPA entitled to sovereign immunity. *Dantzler*, 958 F.3d at 50.

Toyota argues in its reply that even if the scanning program is a governmental function, PRPA has not met the *Thacker* test to avoid its sue-and-be-sued clause. Reply at 6. However, the D.C. Circuit found that a waiver argument because of PRPA’s sue-and-be-sued clause would not prevail. *PRPA*, 531 F.3d at 880-81 (citing *Coll. Sav. Bank v. Fla. Prepaid Postsecondary Educ. Expense Bd.*, 527 U.S. 666, 676 (1999)). The First Circuit also did not find that PRPA waived sovereign immunity for suits in federal court. *Grajales*, 831 F.3d at 27.

It is not necessary to determine whether PRPA is a hybrid entity because for the scanning functions at issue here, as *Dantzler* found, it is clear that the functions are governmental in nature. This factor weighs in favor of finding PRPA to be an arm of the Commonwealth, at least with respect to the scanning program.

### **3. Fiscal Relationship**

Toyota asserts that the *Grajales* court examined the fiscal relationship and concluded that PRPA has independent capacity to raise its own revenues from port operations, to satisfy its judgments without state participation or guarantee, and the Commonwealth bears no legal liability for PRPA’s debts. Opposition at 10. Toyota asserts that PRPA has not received substantial government financing, is a financially independent entity, pays its debts with self-generated funds, receives no legislative allotments, and does not participate in the Government’s general fund. Opposition at 10.

PRPA responds that PRPA has a close fiscal relationship with the Commonwealth for purposes of the scanning program and that “to ensure compliance with Act 12’s mandate, the Commonwealth effectively agreed to pledge its credit and power to levy taxes, agreed to be

made liable for the payment of the principal of any loans, guarantees or bonds of PRPA (or any of the Commonwealth's entities), and agreed that funds of the General Budget be used to finance the scanning program, provided that PRPA exhausted every possibility of public or private funding." Opposition at 13-14. PRPA also argues that the scanning program fiscally impacts the Commonwealth by increasing treasury's tax collections. Opposition at 14-15.

Act 12 states:

For compliance with this chapter, the credit or power to levy taxes of the Commonwealth of Puerto Rico or of any of its political subdivisions shall not be pledged nor made liable for the payment of the principal of any loans, guarantees or bonds issued by any entity, nor shall any public funds of the General Budget approved by the Legislature be used, unless every possibility of federal funding and/or private funds has been previously consumed or exhausted, and it can thus be documented.

23 P.R. Laws Ann. § 3223.

The third structural indicator examines PRPA's overall fiscal relationship to the government, rather than just who would be liable for paying the judgment. The D.C. Circuit noted that "PRPA is financed largely through user fees and bonds; it was created in part to avoid Commonwealth-law limits on how much debt the Commonwealth itself can sustain" and that "the Commonwealth is legally liable for some of PRPA's actions" to find that "PRPA's overall effects on the Commonwealth treasury – weighs in favor of finding PRPA to be an arm of the Commonwealth." *PRPA*, 531 F.3d at 879-80.

The First Circuit in *Dantzler* specifically pointed to "ensuring proper tax collection" as a basis for finding sovereign immunity. *Dantzler*, 958 F.3d at 50 n.6. However, the First Circuit, in *Grajales*, found that the fiscal indicator pointed against a conclusion that PRPA was an arm of the Commonwealth because there was a high degree of fiscal separation. *Grajales*, 831 F.3d at 28.

In general, PRPA is a financially independent entity which pays its debts with self-generated funds and federal grants for capital improvements. *Toyota* Appendix at 004. However, for the cargo scanning program, the Commonwealth of Puerto Rico specifically left open the possibility that public funds from the general budget approved by the legislature could be used to cover shortfalls if other funding was not available. In addition, limiting PRPA's ability to collect fees to run the scanning program could risk the economic viability of the program. Moreover, the scanning program is related to the economic stability of the Commonwealth. Therefore, this factor points toward finding sovereign immunity, as the scanning program is designed to protect and improve the Commonwealth's fisc.

#### **4. Control**

Toyota acknowledges that the First Circuit, in *Grajales*, concluded that control is the only structural indicator that points in favor of PRPA being an arm of the state because the governor exercises a meaningful degree of control over PRPA through his power to appoint and remove the members of its board of directors, among other control indicators. Brief at 11. PRPA agrees that the Commonwealth's control over PRPA is undisputed. Opposition at 15.

The D.C. Circuit focused “primarily on how the directors and officers of PRPA are appointed,” to find that the control factor “also weighs heavily in the direction of considering PRPA an arm of the Commonwealth.” *PRPA*, 531 F.3d at 877. The First Circuit in *Grajales* also concluded that control indicator “does weigh rather strongly in favor of concluding that PRPA is an arm of the Commonwealth.” *Grajales*, 831 F.3d at 28. As discussed in *Grajales*, the Commonwealth closely supervises PRPA's operations, appoints the majority of PRPA's board members, and subjects PRPA to a variety of controls. *Grajales*, 831 F.3d at 28. This element is undisputed and strongly points toward PRPA being an arm of the Commonwealth.

#### **B. Risk to Public Treasury**

Because the structural elements all point toward PRPA being an arm of the Commonwealth of Puerto Rico for the scanning program, the second step of the *Fresenius* approach need not be reached. However, if that second step were reached, it would show a risk to the Commonwealth's treasury from an adverse judgement and from any limitations on the scanning program and the economic benefits it provides.

Toyota asserts that because the Commonwealth would not be liable for a judgment against PRPA in this action, PRPA is not entitled to immunity. Brief at 11-12. PRPA responds that the financial ramifications of an adverse judgment in this case should not be taken lightly because if PRPA is unable to finance the program through user fees or other alternatives, the Commonwealth must finance it or move to repeal Act 12, so that the fiscal impact to the Government is direct and significant, particularly in times of historic financial constraints. Opposition at 14.

As discussed earlier, there is a risk to the Commonwealth's treasury from an adverse outcome in this proceeding, albeit a somewhat limited risk as the Commonwealth treasury would only be impacted as a last resort. However, the fiscal benefits from the scanning program, including secure trade and tax collection, also weigh toward finding a risk to the Commonwealth's treasury. The risk to the Commonwealth's treasury is sufficient to find this step in favor of finding that PRPA is an arm of the Commonwealth of Puerto Rico.

### C. Conclusion

For the above-stated reasons, under the *Fresenius* two-step approach, PRPA is entitled to sovereign immunity. The structural indicators show that the Commonwealth of Puerto Rico maintains significant control over PRPA, the enabling act demonstrates that it is at least a hybrid entity, the scanning program is a governmental function, and although generally operating as fiscally independent, there are benefits and risks to the Commonwealth's treasury from the scanning program. Although it is not necessary to reach the second step of the *Fresenius* approach, that step also shows risks to the Commonwealth's treasury from an adverse ruling and from reductions in funding for the scanning program. Accordingly, PRPA is entitled to sovereign immunity for the cargo scanning program, including the enhanced security fees. Because the proceeding is decided on the basis of sovereign immunity, the merits of the claim and the other issues raised are not considered.

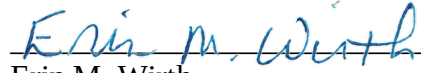
### IV. Order

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

**ORDERED** that Toyota de Puerto Rico's complaint be **DISMISSED WITH PREJUDICE**. It is

**FURTHER ORDERED** that any other pending motions or requests be **DISMISSED AS MOOT**. It is

**FURTHER ORDERED** that this proceeding be **DISCONTINUED**.

  
Erin M. Wirth  
Chief Administrative Law Judge